Solution to Planning Analytical Review Question (41 marks)

Requirement 1 – Calculate an expectation for the total revenue of PH Technology and the deviation, if any, against the actual figure provided by the client.

Actual revenue is £249k greater than our expectation for the 8 months to 31 May 20X3.

	8 Months to 31 May 20X3 Expectation £	**8 months to 31 May 20X3 Actual £**	**Variance**	**Note**
Subscriptions	2,249,800	2,250,333	533	1
Transaction fees	1,223,167	1,472,000	248,833	2
	3,472,967	3,722,333	249,366	**(1 mark)**

Note 1:

Subscription expectation: £3,214,000*8/12*5% = £107,133. **(1 mark)**

Total: £3,214,000*8/12 + £107,133 = £2,249,800 **(2 marks)**

Note 2:

	Transaction numbers	**Transaction fees**	
Brilliant Breaks	1,000,000	362,500	
Happy Holidays	750,000	300,000	
Other customers	1,546,667	560,667	
Expectation in 20X3	3,296,667	**1,223,167**	**(1 mark)**

Workings

Brilliant breaks – 2/12* 1,500,000 @ 25p (**1 mark**) plus 6/12*1,500,000 @40p = £362,500 (**1 mark**)

Happy holidays – 6/12*1,500,000 (**1 mark**)@ 40p (**1 mark**)= £300,000

Other customers - 2/12*2,320,000 @ 25p (**1 mark**) plus 6/12*2,320,000 @40p = £560,667 (**1 mark**)

Alternative Solutions (for Note 2):

	£	
PY 12 month	955,000	
Adjusted for 8 months (955k*8/12)	636,667	**(1 mark)**
Additional Happy Holidays (Note A)	300,000	
Additional revenue from price increase (Note B)	286,500	
Total revenue	1,223,167	**(1 mark)**

Note A: Happy Holidays

Transactions (6/12 * 1,500k)	750,000	**(1 mark)**
Revenue at 40p per transaction	£300,000	**(1 mark)**

Note B: Additional revenue from price increase

Transactions subject to increase from 1 Dec (6/12 * 3,820k)	1,910,000	**(1 mark)**
Additional revenue at 15p per transaction	£286,500	**(2 marks)**

OR

Transaction fees: Note 2

	£	
Additional Happy Holidays (Note A)	300,000	
All others (Note B)	923,167	
Total revenue	1,223,167	**(1 mark)**

Note A: Happy Holidays

Transactions (6/12 * 1,500k)	750,000	**(1 mark)**
Revenue at 40p per transaction	£300,000	**(1 mark)**

Note B: Additional revenue from price increase

Transactions at 25p price (2/12*3,820k)	636,667	**(1 mark)**
Revenue at 25p per transaction (636k*.25)	£159,167	**(1 mark)**
Transactions at 40p price (6/12*3,820k)	1,910,000	
Revenue at 40p per transaction (1,910k*.4)	£764,000	**(1 mark)**
Total revenue for 8 months (£159k+£764k)	£923,167	**(1 mark)**

Total marks available (11 marks)

Requirement 2 – Evaluate the results of the audit data analytic exercise and your calculations for requirement 1 for the purpose of the planning analytical review

Revenue

Our expectation for subscription fees is in line with actual with only a minor variance. **(1 mark)**

Expected transaction fees are £249k lower than the actual figures. This may be due to transaction fees due to be refunded to new customers (**1 mark**) still being recognised in the management accounts. (**1 mark**) There is a risk that overall revenue for transaction fees is overstated. **(1 mark)**

Marketing costs

Marketing costs are 46% behind budget and only showing a relatively small increase of 8% against previous year. The movements appear unusual as PH Technology has engaged with a new marketing agency in the year. (**1 mark**) This was not factored into the annual budget and would be expected to increase costs significantly above both budget and the prior year. (**1 mark**) There is a risk that these costs are understated**. (1 mark)**

Staff costs

Staff costs are 1% above budget and 15% above the prior year. The increase against the prior year is expected (**1 mark**) due to the increased temporary staff taken on to help support research and development work undertaken by the sales team. (**1 mark**) However, we are aware of additional costs associated with the redundancy (**1 mark**) of the company's marketing team which would have been expected to increase the variance against budget. (**1 mark**) As the calculation of redundancy costs is a complex area they may not have been accounted for correctly and staff costs may be understated. **(1 mark)**

Share Capital

Share capital has increased by 30% compared to the prior year which is identified as a significant increase. Per the discussion with the CFO, it is noted that there was only a 10% increase (**1 mark**) in actual shares with much of the funding being raised by the share premium on issue (**1 mark**)Therefore, we would only expect to see a 10% increase in overall share capital with the remainder allocated to share premium and as a result share capital appears to be overstated. **(1 mark)**

Intangible assets

Intangible assets are in line with budget but have increased significantly from prior year by 25%. It is expected that the company will see an increase this year in intangible assets as a result of its RCD activities. **(1 mark)** However, no projects have yet been taken to the development stage (**1 mark**) and as a result we would not expect to see any significant additions as at 31 May 20X3. (**1 mark**) There is a risk that research costs undertaken to date have been capitalised in breach of accounting standards and intangible assets are overstated. **(1 mark)**

Gross profit margin

Gross profit margin for the period to 31 May 20X3 is 54% which is below the prior year and budget. This is likely to be a result of the unexpected increase in direct costs associated with the two new customers located in Australia. **(1 mark)**

Trade Receivables

Trade receivables are taking on average 52 days to pay as of 31 May 20X3 (budget 30 days; prior year 43 days). This is unexpected as the client updated the credit period to 30 days (previously 45 days) (**1 mark**) so we would expect trade receivables days to have reduced (**1 mark**) It has been noted that the finance assistant is currently off sick (**1 mark**) and there has been no chasing up of overdue balances, therefore there could be several overdue trade receivables which are increasing trade receivables days. (**1 mark**) If there are issues around recoverability of any balances, then trade receivables may be overstated. **(1 mark)**

Trade Payables

PH Technology is taking on average 22 days to pay its creditors as at 31 May 20X3 (budget 25 days, previous year 10 days). This is likely to be a result of the company's action to delay payment of invoices. **(1 mark)**

Interest Cover

In order to fund the new global operations, PH Technology has increased its bank loan by £1m which has an interest cover covenant minimum of 4:1 attached to it. Per the performance ratio data, the actual interest cover ratio is 2.5:1 **(1 mark)** which means the company is currently breaching its loan conditions. **(1 mark**)**.** There is a risk that the bank may recall the loan due to the breaching of the covenant **(1 mark)** and this may lead to potential going concern and cash flow issues. **(1 mark)**

Total marks available (30 marks)